GMS WEEKLY

Your Source for Recycling News

May 9th, 2025
Week 19
Volume 272, Issue 1184

Highlights:

- **Ceasefires.**
- **HKC rules.**
- **Bangla surprise.**
- **Pak woes.**
- **Pronto.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"The mark of greatness is when everything before you is obsolete, and everything after you bears your mark."

– Dave Chappelle

-- MARKET COMMENTARY --

TESTY TIMES!

This week, the world unraveled further into chaos as India and Pakistan entered a 3-day armed conflict that saw an equal measure of casualties on both sides and Indian missiles & drones targeted key defense targets deep inside Pakistan, including Pakistani air force installations, surface-to-air missile systems, and targets uncomfortably close to Pakistan's nuclear facilities & command centers, in a show of force that reportedly resulted in urgent calls from senior Pakistani officials to their Indian counterparts requesting an immediate cease-fire from both sides. Subsequently, reports surfaced that the United States threatened to withhold the upcoming USD 1.3 Billion IMF aid-package to Pakistan that was due for release on May 9th, which Indian officials contested against on account of ongoing misappropriations by the government of Pakistan, which India claims is being used to fund cross-border terrorism, including how USD 440 Million from the last tranche remains unaccounted for and still under IMF investigations. Pursuant to the ceasefire, Pres. Zelenskyy seized the opportunity and urged for a Russia-Ukraine ceasefire, even proposing a meet with Putin in Istanbul this coming Thursday, in an effort to stop the killing.

In the meantime, Team Trump continues to steamroll the U.S. Economy and global trade volumes as reportedly on Friday, not a single cargo ship had departed Chinese ports for the U.S. markets, in troubling signs of what is about to unfold as this is the first time the U.S. has encountered such a situation since the worst days of Covid-19 closures. As ongoing volumes of international trade start to dissolve, the Baltic Exchange Dry Index reported a 1.3% drop with both Capes & Panamax indices falling 2.5% & 0.7% respectively, in clear signs that tariff infected products are rapidly running of out of supply chains. Surprisingly, despite trade volumes faltering and demand for bunkers starting to slip, oil futures made a healthy 1.8% jump this week and ended at USD 61/barrel on the back of the news that Treasury Secretary Scott Bessent was due to meet with Chinese officials this week, in an effort to iron out US – Chinese trade agreements, in addition to the news of a separate US - UK trade agreement that still leaves a 10% tariff on U.K. products exported to the U.S.

As a result, sub-continent recycling markets too have been on a negative spiral of late, especially as we head into the quieter monsoon season and Pakistani & Bangladeshi recyclers need to speed up their readiness and ensure yard compliance with the Hong Kong Convention by June 26th. While nearly all Indian yards are certified, the focus shifts to neighboring Pakistan and Bangladesh to get their facilities up to speed - and do it soon. NOCs on ships have meanwhile been granted as an exemption just this time, resulting in a busy anchorage not only in Bangladesh, but also in India, all whilst Pakistan remains stranded for a 3rd week with no fresh arrivals. Flatlining / declining steel plate prices including mixed performances by currencies (even Turkey) also didn't help move the pricing needle at any recycling destination, especially given that the overall number of candidates has simply disappeared from the bidding tables of late, and ship owners collectively wait to see the eventual outcome of trade negotiations in the coming weeks before evaluating freight rates and deciding whether to continue trading their older assets at reasonable / above opex levels, or a trip down recycling lanes is on the charts. Certainly, a hot cup of testy times is on the menu for May.

GMS demo rankings / pricing for week 19 of 2025 are on Page 5.

BANGLADESH

HKC … OR BUST!

NOC struggles.

After a backlog of ships piling up at OPL Chattogram over recent weeks on the back of missing No Objection Certificates (NOCs) from local authorities that would otherwise have permitted these units committed to non-HKC facilities enter port limits, this week, an exemption was made for just those units already outside whose respective facilities had also managed to secure their HKC SoC accreditations and approvals from the Bangladeshi government, resulting in a healthy collection of local arrivals at Chattogram's anchorage. It also came as quite the zinger to see the recently formed ship recycling board announce that no further permissions / NOCs on any incoming vessel(s) or any further extension(s) would be granted to non-certified yards, and ship owners therefore need to be aware **that any upcoming / future sale(s) into Chattogram will have to be to an HKC only yard,** as units fixed to non-HKC facilities will simply NOT receive an NOC.

HKC ONLY!

At present, there are only 7 ship recycling yards with full HKC SoC accreditations in hand and another +20 yards are at various stages of their own HKC infrastructure upgrades, some of whom are reportedly closer to getting their approvals within the coming week(s). Continued audits will take place in Chattogram to ensure yards are matching the required rate of improvements needed to achieve their independent HKC certifications. One thing is now for sure, the Hong Kong Convention has cemented its permanence in Bangladesh!

Slip to 2nd?

The situation with NOC restrictions has sadly also seen HKC accredited yards start to exploit the unfolding situation by talking down the market this week and arbitrarily presenting indications / offers on units that are clearly below last week's levels. As being the only facilities to receive NOCs on incoming / future vessels now presents these yard owners with newfound leverage to import vessels at a lower price - as indications have certainly started showing a downward trend by the time the week ended. The onset of Monsoon and increasing stress of yard upgrades further offers the likelihood of prices slipping from Bangladesh in the coming weeks, which would then see Pakistan or even India retake the mantle from Bangladesh in the price rankings within May.

Global cosplay.

As the pre-monsoon madness starts to push prices down, coupled with an upcoming budget that has garnered little positive news thus far far, and domestic fundamentals that have conjointly done little to elevate local sentiments this week, saw the Taka make a mere 3 basis point increase against the U.S. Dollar and end the week at BDT 121.49, while local steel plate prices remained dead on the floor at USD 477/Ton – a level that remains dangerously close to breakeven on certain premium units. At the macro end, domestic investors remain weary of international tariffs as reportedly, a formal trade agreement between the U.S. and Bangladesh has yet to enter into force and the added uncertainty on Chinese tariffs is also making domestic manufacturers nervous how their source-pricing on raw materials might eventually affect their manufacturing costs. In the interim, the economic global cosplay saw Bangladesh's GDP through the month of April.

Seems like Bangladesh is headed for a quieter end to May.

NO MARKET SALES REPORTED

INDIA

WAR … AND RECYCLING!

Overall, a crazy week of armed conflict with its perennial rival Pakistan saw the attention of the entire nation glued to their respective sources of media watching the unfolding of PM Modi's decisive action against terrorist factions across Eastern Pakistan. As India decimated vital army and air force targets across Pakistan striking the deepest the country has ever struck Pakistan in the last 50 years, the sudden cease-fire saw the populous voicing their collective disappointment that the recent terrorist attack from Pakistan did not meet with a firm enough counteraction, which would more than likely see Pakistani terrorists attack at a future date.

Underperforming.

And while Pakistani officials certainly seem to have gotten the message given the close proximity Indian missiles hit Pakistani nuclear command and control centres, it remains to be seen just how long this newfound "peace" between the nations persists. The Indian Foreign Minister meanwhile voiced India's strong opposition to IMF's USD 1.3 billion loan package to Pakistan on account of Pakistani mismanagement of funds from the prior tranche that remains under IMF investigations, and there are no securities from Pakistan's side as to just where this money will be eventually diverted to or if it will even be spent on future terrorist acts.

Conflict reigns.

While on the one hand, the conflict kept Alang recyclers distracted throughout the week, on the other hand, it may have well been a good thing given that another woeful week of underperformance from Alang recyclers saw India sink to the bottom of the sub-continent pricing board – and not for the first time this year either! Fundamentals are certainly playing their respective parts given that not only have local steel plate prices declined by about USD 4/Ton this week, but the Indian Rupee lost nearly 1% as it plummeted back towards Rs. 86 midweek, only to end it at Rs. 85.30.

INR struggles.

Moreover, both Indian and Pakistani stock markets surged on the back of the ceasefire, yet Indian sentiments remain cautions given just how fragile the current ceasefire is. Tariff talks too have reportedly been positive between Indian and U.S. officials as news of a mutually beneficial bilateral trade agreement is nearing conclusion. Yet, domestic economists fear that the tariffs that do go into effect, will eventually affect the nation's GDP by 0.5% for the rest of the year.

For now, however, recyclers remain on the lookout for tonnage as surprisingly, a decent LDT tanker at Alang's anchorage coupled with a collection of smaller sized units helped near India's total LDT for the week over 26K LDT this week. Moreover, with tariff uncertainties abound and HKC taking front and centre at neighbouring competitors, India could stand to become the market to go to for the time being - even in the face of lower pricing, once Pakistani and Bangladeshi recyclers initiate the process of upgrading their facilities and divert their collective attentions towards HKC accreditations over vessel negotiations.

Go to market?

Interesting month for India.

NO MARKET SALES REPORTED

PAKISTAN

SIDELINED!

Radar.

Pakistan has barely been on the ship recycling radar over recent years – struggling to compete (pricewise) on the back of an ailing economy and a drastically collapsed currency that resulted in a crushing lack of financing and available L/Cs for domestic ship recyclers. However, across 2025, Gadani recyclers have thankfully managed to get by on scarce and small LDT, geographically positioned tonnage that eventually raised hopes within the cash buying community of a resurgent Pakistan, given that a growing number of enquiries and aggression to buy emerged across March and April. However, Pakistan once again slipped back down and has been relegated to the last few weeks of an empty port position, with its competitively weaker levels.

Declining India

Luckily for Gadani recyclers, a (once again) declining India has thrust the Pakistani market back into 2nd place in the market rankings this week, even though local offerings haven't changed much for some time now, which remains puzzling. Despite the Pakistani Rupee depreciating of late, it has all but depreciated less than 2% in recent months as it ended the week 12 basis points firmer against the U.S. Dollar this week at PKR 281.20, all while Pakistani steel plate prices remain over USD 100/Ton higher than its sub-continent competition offering more than a healthy buffer to local recyclers at current offer levels.

Conservative?

Moreover, the approval of IMF's USD 1.3 billion loan package will certainly ease any financial burdens the country or even local recyclers may have as they too approach the HKC deadline of June 26th. Unfortunately for Gadani recyclers, they remain lagging far behind the competition on the yard upgrades front and this may see Pakistani ship recyclers disappear from the bidding table all together once the HKC formally enters into effect. We can only hope that a sense of professional urgency prevails, and the incoming aid is put to good use for the future of this vital sector of the nation.

The conflict with India too sucked most of the country's collective focus away from daily activities and this saw no market sales being confirmed into Pakistan this week. However, the aftershocks of the conflict will likely be felt for some time as the nation recovers from India's deepest attacks into Pakistan over the last 5 decades and an overall sense of insecurity in the economy could also see local recyclers take an increasingly conservative stance in their pricing strategies and deliver Pakistan a short stint at the #2 spot.

Lucky.

Time will tell. Fow now, Pakistan may likely get lucky with the off-chance, smaller LDT geographically suited unit and keep a yard (or two) operating in the interim. What happens in the long run may end up surprising everyone.

NO MARKET SALES REPORTED

TURKEY

IT'S SILENT, SLICK!

Other than the guaranteed depreciation of the Turkish Lira, which fell 30 basis points against the U.S. Dollar down to TRY 38.71 as the week ended, there is nothing to report from Turkey this week. The absence of tonnage blended with weakened prices has certainly seen this market take a vacation of late and like Pakistan, Aliaga recyclers remain on the hunt for small LDT tonnage from regional waters.

Blended.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 19 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Weak**	450 / LDT	470 / LDT	480 / LDT
2	Pakistan	**Weak**	440 / LDT	460 / LDT	470 / LDT
3	India	**Weak**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *Sigmund Freud said he put his patients on the couch because he could not deal "with being stared at by other people for eight hours a day."*
- *Our brains release dopamine in response to even the most rudimentary animations.*
- *A model of a human embryo made from stem cells secreted hormones that turned a pregnancy test positive.*
- *American men married to women are five times more likely to fully adopt their wife's surname than to append it to their own with a hyphen.*
- *Bedbugs' mating rituals may have supercharged their immune system.*
- *Lions on the East African savannas struggled to hunt zebras because of a single ant species.*
- *Wanting is different from liking.*
- *A "Christian conservative" mobile-phone-service provider has been operating in the U.S. for more than a decade. It pays T-Mobile for access to its cellular network.*
- *Before Joe Biden dropped out of the presidential race, his campaign team maintained an account on Donald Trump's Truth Social site. They used it to try to goad the Trump campaign into selecting a more extreme vice-presidential candidate.*
- *A slim majority of Republican voters now favor legalizing recreational marijuana.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
June 07 – Bakri-Eid	May 11 – May 17 May 24 – June 01

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
May 11 – Buddha Purnima June 07 - 12 – Eid-ul-Azha	May 11 – May 14 May 26 – May 29

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 31 – June 02 – Dragon Boat Holiday	June 05 – Day or Arafah June 06 - 09 – Eid-ul-Azha	May 19 Youth & Sports Day June 05 – 09 – Kurban Bayrami

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of May 11, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Lord 17	2,583	General Cargo	Arrived May 11
2	Nirvana	9,623	Oil Tanker	Arrived May 07
3	Run Fu 6	6,258	Bulk Carrier	Arrived May 06
4	*Sea Dove*	*7,918*	*Bulk Carrier*	*Delivered May 01*
Total Tonnage		**26,382**		

CHATTOGRAM - Port Position as of May 09, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Charlene	6,071	Bulk Carrier	Arrived May 05
2	EM Unity	15,672	Tanker	Arrived May 05
3	Hu Gang Yin 2	4,351	Offshore Support Vessel	Arrived May 05
4	Linden	2,216	Container	Arrived May 05
5	Woods	9,462	General Cargo	Arrived May 08
		37,773		

GADANI - Port Position as of May 09, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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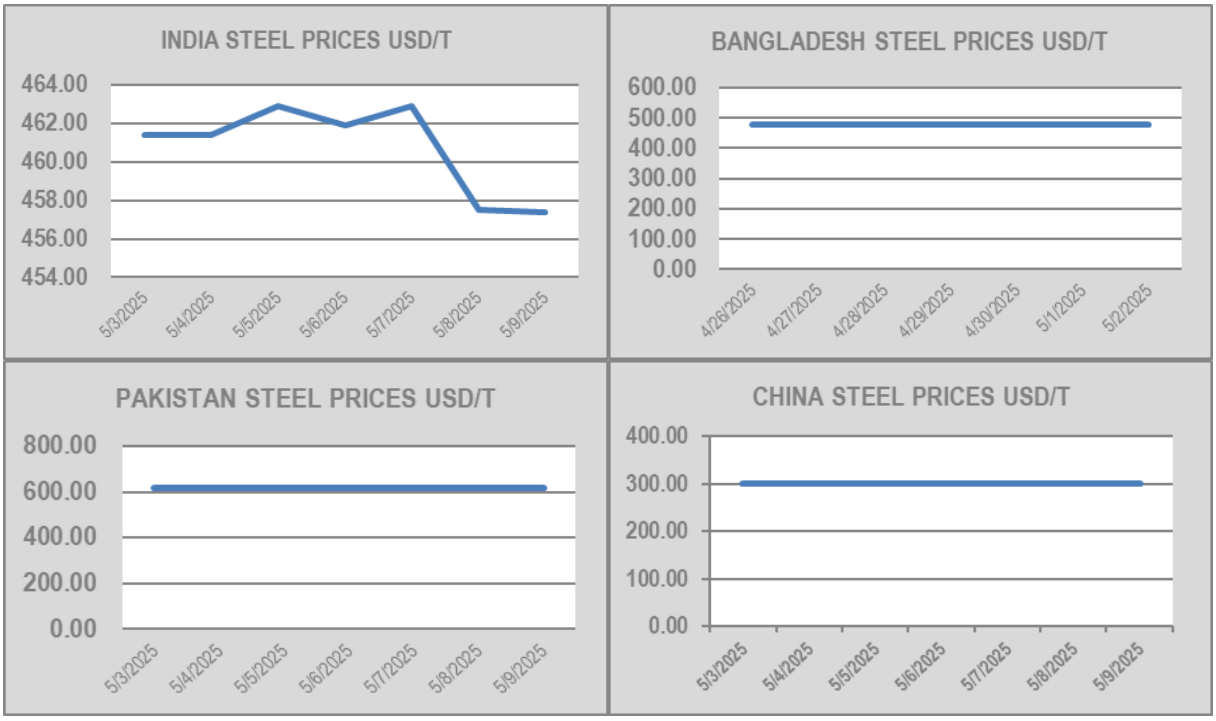
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/3/2025	461.37	39,000.00	614.78	173,000.00	577.56	70,000.00	300.39
5/4/2025	461.37	39,000.00	614.78	173,000.00	577.56	70,000.00	300.39
5/5/2025	462.91	39,000.00	614.78	173,000.00	577.56	70,000.00	300.39
5/6/2025	461.87	39,000.00	614.78	173,000.00	577.56	70,000.00	300.39
5/7/2025	462.92	39,200.00	614.78	173,000.00	577.56	70,000.00	300.39
5/8/2025	457.52	39,200.00	614.78	173,000.00	577.56	70,000.00	300.39
5/9/2025	457.41	39,200.00	614.78	173,000.00	577.56	70,000.00	300.39



www.gmsinc.net GMS_Leadership GMS Leadership snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311